Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$83.84 ▼ 1.35%	12M Price Target	52-Week Range	Market Cap
		$88.00	$63.52 – $149.41	$75.50B

HOOD: Crypto Cooldown Hits After Blowout Run

WHAT HAPPENED

- HOOD is down ~11% in a week ($94.56 → $83.84) even though financials ETF ripped +1.86% today — this is a HOOD-specific unwind, not sector weakness. Translation: people are taking profits after a huge run (stock was at $149 at the 52-week high), and nothing new is driving the drop other than digestion.
- Options flow is sending a mixed signal — tons of calls vs puts (bullish on surface, P/C ratio of 0.21) but the unusual activity shows BOTH big put buying at $86 AND call buying at $87, which screams "traders expect a big move but don't know which way" heading into November expiration.

WHY IT MATTERS

The disconnect here matters: Financials as a sector are rallying but HOOD is bleeding — that tells me the market is re-pricing HOOD's specific growth story, not punishing the whole group. The likely culprit is crypto volume normalization (HOOD's crypto revenue has been the hockey-stick driver all year) plus profit-taking after the stock tripled off its lows. Here's the inference nobody's making: with HOOD now sitting at only 24% of its 52-week range, the risk/reward is starting to flip — if the Trump administration's crypto-friendly policies (CLARITY Act progress, SAB 121 repeal already banked, stablecoin legislation) continue delivering, the next leg of growth is tokenized equities and prediction markets, both of which HOOD is first-mover on. Watch for whether $80 holds — that's the line between "healthy pullback" and "something's broken."

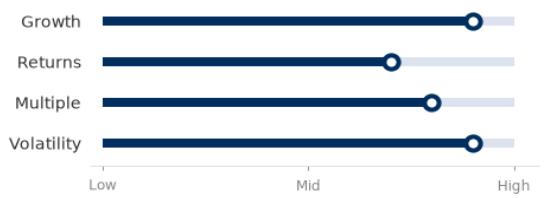
POLICY & POLITICAL WATCH

HOOD is one of the biggest beneficiaries of the current pro-crypto regulatory stance — the SEC under Atkins has essentially greenlit tokenized stocks and dropped most enforcement actions against crypto brokers, which is why HOOD launched tokenized equities in Europe and is pushing US rollout. The CLARITY Act (crypto market structure bill) working through Congress would hand HOOD a clear regulatory lane to expand crypto offerings — if it passes, that's a direct tailwind; if it stalls in the Senate, growth multiples compress. Also watch the CFTC's posture on prediction markets (Kalshi-style event contracts) — HOOD rolled these out and they're a potential billion-dollar revenue stream, but one adverse ruling kills the category overnight.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$83.84**
12M Price Target	**$88.00**
Upside / (Downside)	**+5.0%**
Market Cap	**$75.50B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$5,900M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.40**
Fwd P/E	**45.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$95.00**	$85.00	**$72.00**
6 Months	**$115.00**	$90.00	**$65.00**
1 Year	**$140.00**	$88.00	**$55.00**
2 Years	**$180.00**	$110.00	**$45.00**
5 Years	**$275.00**	$160.00	**$35.00**
10 Years	**$450.00**	$220.00	**$25.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.4%) and Financials (+1.9%) — rate cut expectations plus a risk-on tone. Materials ripping on infrastructure spending and tariff-driven domestic sourcing demand.

COOLING OFF: Not shown in data, but recent high-flyers (fintech, crypto-adjacent names like HOOD) are seeing profit-taking even as traditional financials rally — classic late-cycle rotation.

ROTATION WATCH: Money is rotating OUT of high-beta growth fintech INTO traditional banks and asset managers — the "boring makes money" trade. HOOD is on the wrong side of this rotation right now despite benefiting from the same rate environment.

RELATED PLAY: If HOOD's crypto thesis holds, COIN benefits more directly (purer crypto play), and CME/ICE benefit from derivatives/prediction markets regulatory clarity. For a cheaper HOOD-adjacent name, look at SOFI.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Benefits from same crypto policy tailwinds but trades at lower revenue multiple; direct comp.
- IBKR (Interactive Brokers): Winning the "serious trader" segment while HOOD owns retail; both benefit from active trading boom.

HOOD CONTEXT: HOOD is LAGGING both the financials sector and its direct peers this week — that's a yellow flag. When a market darling underperforms a strong group, it usually means institutions are rebalancing. Not fatal, but tells me the easy money has been made and the next move requires a new catalyst (earnings, policy win, product launch).

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story but hate chasing after a 2x year; waiting for better entry.

POSITION SIZE: 2-4% of portfolio — the upside is real, but so is the 30%+ drawdown risk given how much crypto beta is baked in.

ENTRY POINTS: $72-78 is where I'd start adding — that's a healthy 15-20% pullback from here and lines up with prior support.

TIME HORIZON: 12-24 months — the catalysts I'm waiting for are CLARITY Act passage, US tokenized equities launch, and Q4 earnings showing prediction markets traction.

WHEN TO BAIL: If quarterly crypto revenue drops more than 30% sequentially, OR if the CFTC moves against prediction markets, OR if the stock breaks $65 (the 52-week low) — any of those changes the story.

HEDGING: Buy a put option (insurance that pays off if stock drops) around the $75 strike expiring in 3 months — costs maybe 3-4% of your position but caps the downside if crypto rolls over.

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